Usually, when the bonds go down, the S&P goes up. So the S&P should hold here, and if it doesn't, then the bonds should rally. I think I could buy the S&P here and buy the bonds and make money.

Do you have a current directional bias in the S&P?

I'm very bearish.

Why?

Because I don't think the European situation is going to end well [reference to the debt crisis of the weaker European countries], and they are bidding up the market expecting some grand solution that is probably not going to happen. But again, that is not what I do. I don't make major directional bets. I am a very opinionated guy, but for the first five years of the business, my opinion did nothing but lose me money. So I have to leave my opinions at the door. I think the market is going to eventually crash, but I have to stay in business, and I can't make that bet.

Did you have a position coming into the day?

I was modestly net long.

Why net long if you're bearish?

I came in long because today was option expiration day, and 85 percent of the time, they mark up the market on the morning of option expiration day. It has been going on for 25 years.

Can we go back to the S&P and bond example?

Okay, right now, the bonds are still at 20 bid and the S&P is bid $.75 higher. That move is equal to about 3/32 in the bonds, given that my bond position is about one-third the size of my S&P position. I could take profits on the S&P, put a stop in three ticks lower on the bonds, and if I'm not stopped out, take profits three ticks higher. The worst I would do is approximately break even, and if the bonds move up three ticks, I'll make money on both sides. It is that simple. I do lots of these trades every day. Sometimes my positions are big; sometimes they are small. Whether they are big or small depends primarily on how I am doing for the month and what our P&L is for the year to date.